

Asia Pacific Equity Derivatives Strategy

Earnings delivery in focus amid diverging earnings volatility; derivative trades for Baidu's AI monetization and Ping An's dividend upside

- Earnings Delivery in Focus Amid Diverging Earnings Volatility:** Over the next two weeks, earnings season enters its busiest window, with around 54% of the market cap in the HSI and HSCEI set to report. **Recent prints from Tencent and Lenovo highlight that earnings event risk for Hong Kong AI-linked names may still be underestimated**, with realized moves landing larger than what implied earnings moves suggested. At the sector level, options markets continue to point to the highest sensitivity in AI-linked pockets, especially Information Technology and Communication Services. At the market level, aggregate implied moves are rising but still leave room for realized moves to surprise. Against this backdrop, **we continue to prefer selectively adding exposure across China AI hyperscalers and Financials such as China insurers, given their earnings revision improvement and favorable earnings volatility edge vs historical realized levels.**
- Positioning for Baidu's AI Monetization:** Baidu has corrected more than 31% from its January high and has been trading in a tighter range between HK \$100 and HK\$115 since mid-June. **While some residual earnings downside risk may persist in the near term, cloud growth remains the key fundamental support.** Additionally, **potential Southbound inclusion is a constructive catalyst to monitor**, though the timeline remains uncertain. **Volatility is not cheap**, with the earnings implied move broadly in line with history, which supports leaning towards more cost efficient structures into the event. Investors can consider **put selling** to collect premium into earnings, while **Dec26 expiry KO calls** offer a more cost-efficient way to retain upside exposure over the longer term.
- Buy Ping An's Dividend Upside Surprise with Cheap Earnings Vol:** Ping An has lagged year to date, down 14.5% versus a 0.5% decline in the HSI. Fundamentally, our analyst MW Kim keeps **Ping An as the top pick in China insurers**, with a **potential interim dividend surprise** as the key near-term catalyst to reset sector sentiment. **Volatility into earnings screens relatively muted, with 1M ATM implied near 3Y lows.** Investors with a bullish view can consider buying **calls outright** into the event to retain upside potential.

Global Equity Derivatives Strategy

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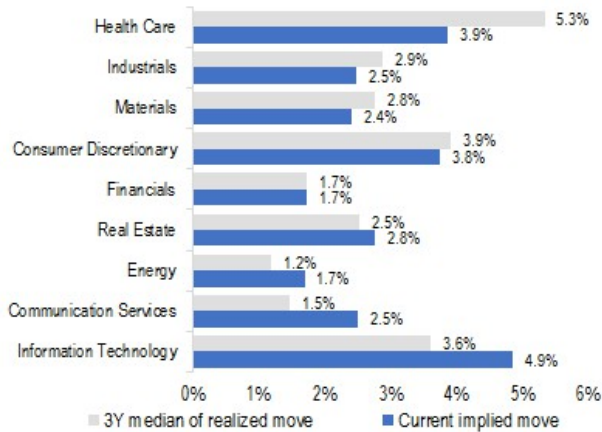
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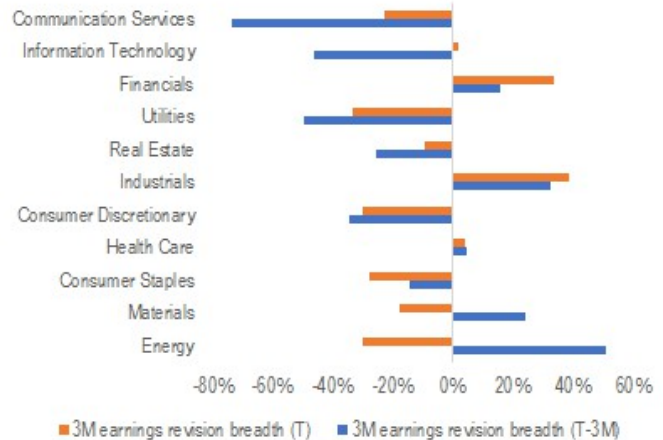
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Figure 1: Current implied vs. historical median realized earnings moves for major sectors



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Note: Market-cap-weighted average for implied and realized moves. Excludes sectors with insufficient number of stocks. Data as of 12 August 2026.

Figure 2: Information Technology and Communication Services are the two sectors that have seen the most improvement in 3M earnings revision breadth versus three months ago



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Table 1: Earnings implied vs. realized move analysis for the top 3 stocks with the highest and lowest implied move vs. realized move

Stock		Date		Status	Volatility			Earnings Move (%)					
Ticker	Name	Price	Date		Aug26	Sep26	1M	Implied Move		Realized Move			Mid Rlzd-Imp
					Implied	Implied	Realized	Size (%)	Px Chg	3Y median	3Y max	3Y min	Move
9992 HK	Pop Mart Interna	151.0	20Aug26	C	44.3%	43.1%	32.9%	3.2%	4.86	10.7%	22.5%	3.8%	7.5%
2382 HK	Sunny Optical	58.9	26Aug26	C	50.3%	48.1%	46.9%	4.1%	2.41	9.1%	13.2%	0.8%	5.0%
9961 HK	Trip.Com Group L	360.4	27Aug26	E	31.3%	33.6%	30.1%	1.8%	6.34	6.6%	11.9%	0.8%	4.8%
1810 HK	Xiaomi Corp-W	26.4	18Aug26	C	43.5%	41.6%	60.1%	3.6%	0.94	2.1%	9.0%	0.3%	-1.5%
2269 HK	Wuxi Biologics C	45.7	25Aug26	C	53.3%	51.1%	49.9%	4.3%	1.96	2.5%	8.5%	1.2%	-1.8%
300 HK	Midea Group Co-H	96.1	31Aug26	E	22.5%	24.6%	19.2%	3.1%	3.02	1.3%	6.8%	0.5%	-1.9%

Note: Data as of 12 August 2026. C = confirmed, E = expected.
Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

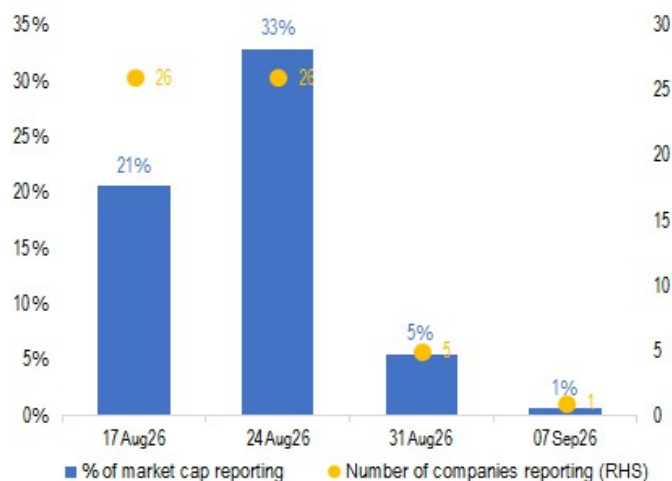
Earnings Delivery in Focus Amid Diverging Earnings Volatility

Over the next two weeks, earnings season enters its busiest window, with around 54% of the market cap in the HSI and HSCEI set to report (Figure 4). The outperformance of HSTECH versus China semiconductor names since late June suggests the AI theme is broadening from hardware leaders towards platform and hyperscaler exposure. Against this backdrop, investors remain tightly focused on AI capex and monetization, and this is increasingly reflected in options pricing.

Figure 3: The recent outperformance of HSTECH versus selected China semiconductor names points to a broadening from AI hardware leaders toward AI hyperscalers.



Figure 4: Earnings calendar for HSI and HSCEI constituents

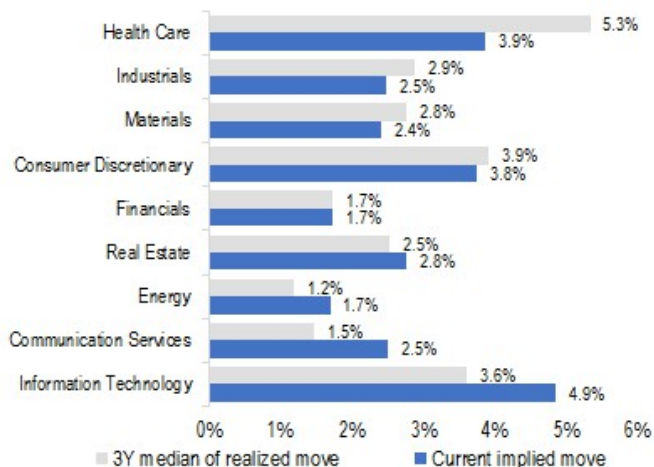


Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

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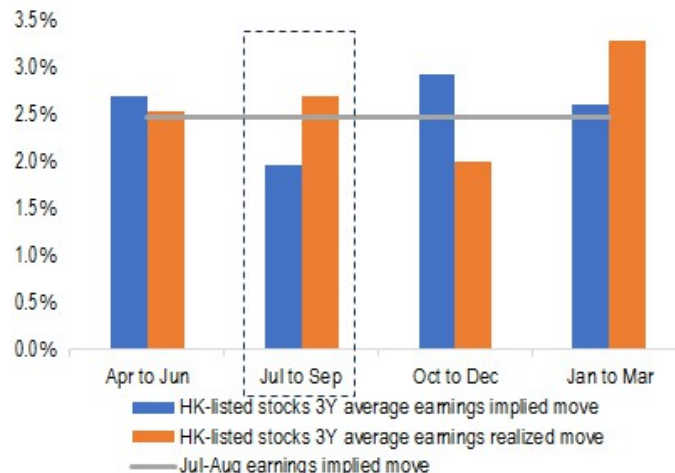
Tencent and Lenovo's post-earnings moves suggest that event risk for AI-linked names may still be underestimated, even where implied moves screen elevated versus history. Tencent reported on 12 August and Lenovo on 13 August, and while the fundamental read-through differed, both prints delivered outsized price reactions versus their own historical norms. Tencent fell around 4% as the step up in AI spending revived monetization concerns, while Lenovo rallied roughly 20% as results reinforced the AI server pivot and profitability narrative (the benchmark HSTECH index was almost flat over the same period). Into the events, the options market implied earnings day moves of about 3.2% for Tencent and 8.9% for Lenovo, versus three-year median realized moves of 1.0% and 3.2%, respectively, reinforcing that event risk remains elevated for Hong Kong AI names into earnings.

Figure 5: Current implied vs. historical median realized earnings moves for major sectors



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Note: Market-cap-weighted average for implied and realized moves. Excludes sectors with insufficient number of stocks. Data as of 12 August 2026.

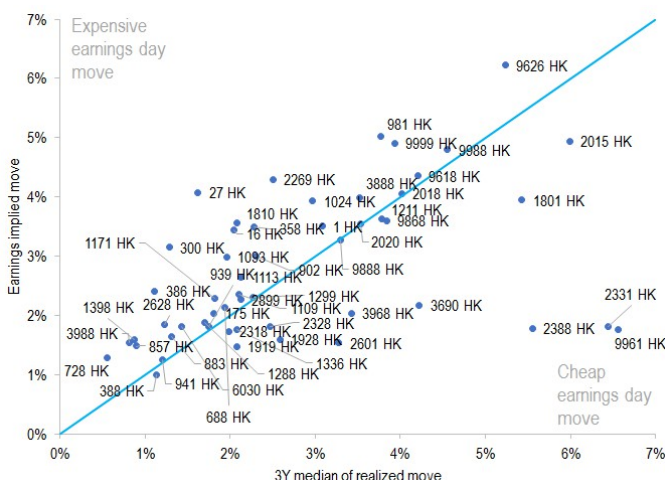
Figure 6: Average implied and realized earnings moves of liquid optionable universe of HK-listed stocks



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Note: Data as of 12 August 2026.

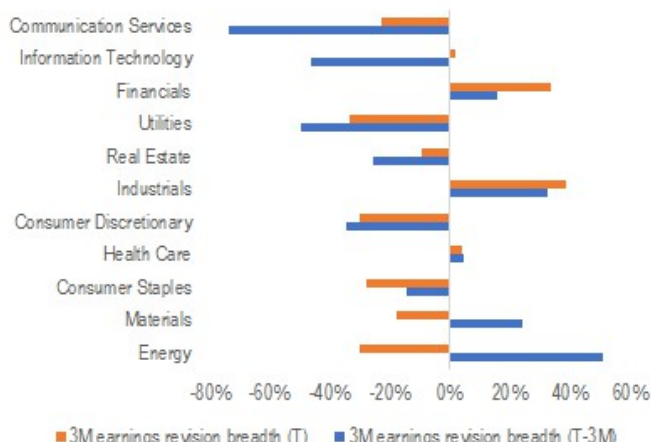
At the sector level, options pricing suggests elevated sensitivity to results in AI-linked sectors. Earnings implied moves for Information Technology, Communication Services, and Energy are screening high versus their own history, with implied moves sitting above the 3Y median realized level across these sectors (Figure 5), consistent with investors paying up for event protection and convexity.

Figure 7: Current implied vs. historical median realized earnings moves for major stocks



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Note: Market-cap-weighted average of implied and realized moves.

Figure 8: Information Technology and Communication Services are two sectors that saw the most improvement in terms of 3M earnings revision breadth compared to 3M ago



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

At the market level, aggregate earnings implied moves are rising but still leave room for upside surprise in realized moves. The market cap weighted average implied move has increased from 2.3% to 2.5% versus last week, but remains below the historical realized average of 2.7%, consistent with the pattern that implied moves tend to understate realized outcomes during the Jul to Sep reporting window (Figure 6,

Figure 7). At the single-name level, Midea Group (300), Wuxi Biologics (2269) and Xiaomi (1810) screen as the most expensive on implied versus historical realized, while Pop Mart (9992), Sunny Optical (2382), and Trip.com (9961) screen as the cheapest (Table 2).

The improvement in 3M earnings revision breadth across Communication Services, Information Technology, and Financials supports a more selective approach into earnings (Figure 8). In this environment, we prefer targeted positioning rather than broad exposure, focusing on names where implied moves offer an edge versus historical realized moves alongside improving earnings expectations, including China AI hyperscalers and Financials such as China insurers.

Table 2: Earnings implied vs. realized move analysis for liquid optionable universe of HK-listed stocks

Stock		Date		Volatility			Earnings Move (%)						
Ticker	Name	Price	Date	Status	Aug26	Sep26	1M	Implied Move		Realized Move			Mid Rlzd-Imp
					Implied	Implied	Realized	Size (%)	Px Chg	3Y median	3Y max	3Y min	Move
3690 HK	Meituan-W	91.7	14Aug26	E	40.0%	42.0%	38.9%	2.2%	1.99	4.2%	12.6%	0.8%	2.1%
1928 HK	Sands China Ltd	14.6	14Aug26	C	27.8%	30.3%	33.1%	1.6%	0.23	2.6%	5.2%	0.1%	1.0%
1919 HK	Cosco Ship Hol-H	15.3	14Aug26	E	27.1%	28.5%	23.2%	1.5%	0.22	2.1%	7.0%	0.1%	0.6%
1171 HK	Yankuang Enrgy-H	12.5	14Aug26	E	45.6%	45.6%	48.5%	2.3%	0.29	1.8%	5.9%	0.0%	-0.5%
857 HK	Petrochina-H	9.5	14Aug26	E	28.6%	29.2%	29.0%	1.5%	0.14	0.9%	4.1%	0.4%	-0.6%
2628 HK	China Life-H	27.1	14Aug26	E	35.2%	36.2%	38.3%	1.8%	0.50	1.2%	8.5%	0.2%	-0.6%
1093 HK	Cspc Pharmaceuti	8.7	14Aug26	E	48.0%	47.3%	42.3%	3.0%	0.26	2.0%	14.4%	0.2%	-1.0%
175 HK	Geely Automobile	18.1	17Aug26	C	39.3%	40.0%	51.1%	2.0%	0.37	1.8%	5.2%	0.1%	-0.2%
9888 HK	Bidu-Sw	102.0	18Aug26	C	45.9%	44.7%	45.5%	3.3%	3.35	3.3%	8.6%	0.2%	0.0%
1810 HK	Xiaomi Corp-W	26.4	18Aug26	C	43.5%	41.6%	60.1%	3.6%	0.94	2.1%	9.0%	0.3%	-1.5%
388 HK	Hkex	406.6	19Aug26	C	19.7%	19.8%	17.1%	1.0%	4.07	1.1%	3.6%	0.5%	0.1%
3888 HK	Kingsoft Corp	27.4	19Aug26	C	46.3%	44.0%	45.3%	4.0%	1.09	3.5%	9.4%	0.6%	-0.5%
1024 HK	Kuaishou-W	41.5	19Aug26	C	48.6%	46.5%	69.1%	3.9%	1.63	3.0%	14.0%	0.9%	-1.0%
9992 HK	Pop Mart Interna	151.0	20Aug26	C	44.3%	43.1%	32.9%	3.2%	4.86	10.7%	22.5%	3.8%	7.5%
2331 HK	Li Ning Co Ltd	14.6	20Aug26	C	35.2%	35.8%	27.2%	1.8%	0.27	6.4%	8.8%	0.8%	4.6%
2318 HK	Ping An	55.6	20Aug26	C	22.7%	21.9%	17.3%	1.7%	0.96	2.0%	6.1%	0.1%	0.3%
2018 HK	Aac Technologies	42.7	20Aug26	C	48.5%	46.2%	43.9%	4.1%	1.73	4.0%	13.2%	1.6%	0.0%
1299 HK	Aia	72.7	20Aug26	C	29.0%	27.8%	27.7%	2.3%	1.68	2.3%	5.9%	0.4%	0.0%
9988 HK	Baba-W	122.6	20Aug26	C	46.7%	42.7%	51.8%	4.8%	5.88	4.6%	18.5%	1.0%	-0.2%
6030 HK	Citic Sec-H	26.9	20Aug26	C	34.3%	35.3%	30.7%	1.8%	0.49	1.4%	2.7%	0.3%	-0.4%
728 HK	China Telecom-H	4.6	20Aug26	C	23.5%	24.9%	19.0%	1.3%	0.06	0.6%	3.0%	0.0%	-0.7%
9999 HK	Netease Inc	192.5	20Aug26	C	42.1%	36.9%	41.7%	4.9%	9.45	3.9%	13.0%	0.4%	-1.0%
2899 HK	Zijin Mining-H	35.9	21Aug26	C	44.9%	44.9%	52.3%	2.3%	0.81	2.1%	5.0%	0.2%	-0.1%
386 HK	Sinopec Corp-H	4.3	21Aug26	C	22.0%	19.8%	19.3%	2.4%	0.10	1.1%	2.4%	0.3%	-1.3%
9868 HK	Xpeng Inc-A Shrs	45.7	24Aug26	C	53.6%	52.4%	49.9%	3.6%	1.65	3.8%	13.1%	0.0%	0.2%
1801 HK	Innovent Biologi	95.6	25Aug26	C	48.8%	46.7%	44.5%	3.9%	3.77	5.4%	17.4%	0.4%	1.5%
358 HK	Jiangxi Copper-H	38.0	25Aug26	C	51.5%	50.3%	56.0%	3.5%	1.32	2.3%	8.6%	0.5%	-1.2%
2269 HK	Wuxi Biologics C	45.7	25Aug26	C	53.3%	51.1%	49.9%	4.3%	1.96	2.5%	8.5%	1.2%	-1.8%
2382 HK	Sunny Optical	58.9	26Aug26	C	50.3%	48.1%	46.9%	4.1%	2.41	9.1%	13.2%	0.8%	5.0%
9633 HK	Nongfu Spring -H	42.7	26Aug26	E	41.3%	36.2%	42.6%	4.9%	2.07	7.7%	10.4%	1.1%	2.9%
2020 HK	Anta Sports	72.8	26Aug26	C	32.7%	29.4%	24.9%	3.5%	2.58	3.5%	9.7%	1.0%	0.0%
688 HK	China Overseas	13.8	26Aug26	C	33.8%	33.3%	30.6%	2.1%	0.29	1.9%	6.5%	0.1%	-0.2%
9961 HK	Trip.Com Group L	360.4	27Aug26	E	31.3%	33.6%	30.1%	1.8%	6.34	6.6%	11.9%	0.8%	4.8%
2328 HK	Picc P&C-H	15.5	27Aug26	E	29.9%	29.6%	36.2%	1.8%	0.28	2.5%	3.2%	1.0%	0.7%
883 HK	Cnooc-H	24.0	27Aug26	E	30.4%	31.7%	32.9%	1.6%	0.39	1.3%	4.1%	0.1%	-0.3%
9626 HK	Bilibili Inc-Z	138.7	27Aug26	C	58.0%	52.3%	47.5%	6.2%	8.63	5.2%	16.5%	0.8%	-1.0%
2601 HK	China Pacific-H	28.7	28Aug26	E	27.8%	29.6%	26.9%	1.5%	0.44	3.3%	5.8%	0.2%	1.7%
2015 HK	Li Auto Inc-A	49.4	28Aug26	E	49.3%	45.3%	45.1%	4.9%	2.44	6.0%	25.4%	1.2%	1.0%
1336 HK	New China Life-H	46.0	28Aug26	E	30.9%	33.6%	42.3%	1.8%	0.81	2.1%	7.4%	0.8%	0.3%
1109 HK	China Res Land	35.0	28Aug26	C	35.8%	35.2%	36.1%	2.3%	0.82	2.1%	5.2%	0.9%	-0.2%
1211 HK	Byd Company	89.6	29Aug26	C	33.8%	35.5%	40.3%	3.6%	3.26	3.8%	6.1%	0.4%	0.1%
939 HK	Ccb-H	8.8	29Aug26	C	20.2%	20.8%	29.3%	1.8%	0.16	1.7%	2.9%	0.5%	-0.1%
1288 HK	Abc-H	5.8	29Aug26	C	23.8%	24.3%	33.3%	1.9%	0.11	1.7%	3.1%	0.4%	-0.2%
1398 HK	Icfc-H	7.2	29Aug26	C	21.2%	21.6%	26.9%	1.6%	0.11	0.9%	2.9%	0.5%	-0.7%
3988 HK	Bank Of China-H	5.2	29Aug26	C	19.5%	19.9%	25.7%	1.5%	0.08	0.8%	2.8%	0.0%	-0.7%
2388 HK	Boc Hong Kong	49.8	31Aug26	E	21.7%	22.2%	26.6%	1.8%	0.89	5.6%	9.5%	0.7%	3.8%
3968 HK	Cm Bank-H	48.0	31Aug26	E	20.7%	21.5%	22.6%	2.0%	0.98	3.4%	5.5%	0.9%	1.4%
300 HK	Midea Group Co-H	96.1	31Aug26	E	22.5%	24.6%	19.2%	3.1%	3.02	1.3%	6.8%	0.5%	-1.9%
16 HK	Shk Ppt	117.6	10Sep26	C	26.0%	28.2%	25.2%	3.4%	4.05	2.0%	7.1%	0.8%	-1.4%

Note: Data as of 12 August 2026. C = confirmed. E = expected.
Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Positioning for Baidu's AI Monetization

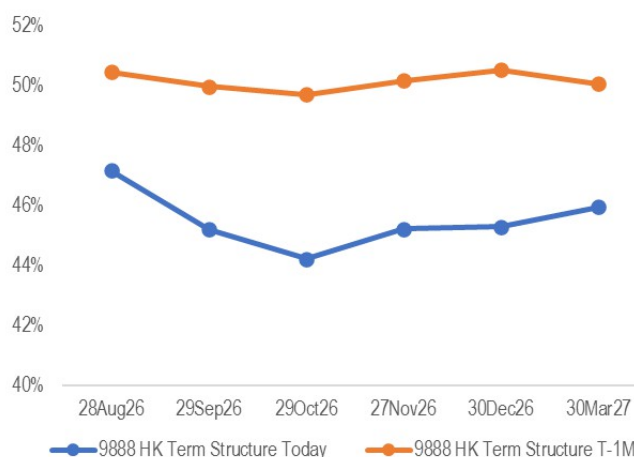
Baidu has corrected more than 31% from the year high in January and has now settled into a tighter range, with a YTD return of -21.4%, lagging -5.6% for HSCEI and -13.4% for HSTECH (Figure 9). The pullback has left the stock less momentum-driven and more catalyst-sensitive, with positioning appearing cleaner into the upcoming earnings announcement.

Figure 9: Baidu has corrected more than 31% from the year high in January and has now settled into a tighter range, with YTD return of -21.4% lagging -5.6% for HSCEI and -13.4% for HSTECH



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 10: Term structure of Baidu reset lower compared to 1M ago

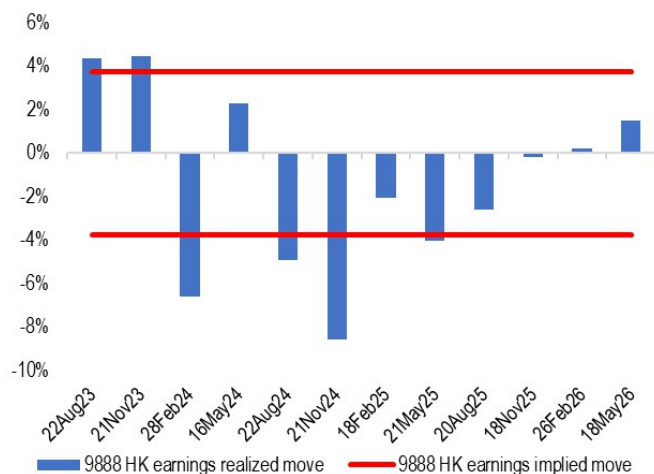


Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

While there may still be some residual earnings downside risk in the near term, the cloud growth trajectory remains the key fundamental support. Our analyst Alex Yao stays Overweight with a target price of HK\$200, and attributes the drawdown primarily to uncertainty around the Kunlunxin IPO timeline, as well as Baidu being used as a funding leg against AI hardware longs. The catalyst calendar also remains active, with potential positives including progress on the Kunlunxin IPO, potential distribution, Stock Connect inclusion, and a first dividend framework (see [here](#)).

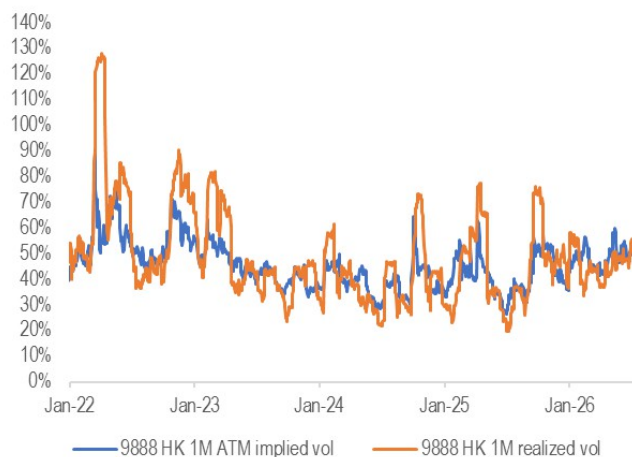
Potential inclusion in Southbound trading is another constructive event to watch, although the timeline remains uncertain. Baidu applied for a primary dual listing on 22 July. If approval is expedited, Stock Connect eligibility could come as early as 7 September, but a more typical three-to-four-month approval process would likely push the relevant window to the next eligible date of 8 March 2027.

Figure 11: Options market is implying an earnings-day move of 3.3% for Baidu compared to the 3.3% 3Y historical median



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 12: Implied and realized volatility history of Baidu



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Volatility is not screening cheap, with the earnings implied move broadly in line with historical levels. Compared to one month ago, Baidu's term structure has reset lower overall, but the front end has become more inverted into the upcoming print (Figure 10). The options market is implying an earnings day move of 3.3%, broadly in line with the 3Y median realized move of 3.3% (Figure 11), while 1M implied volatility is 47% versus 1M realized volatility of 46.6%. With 2M implied volatility at the 76.4 percentile versus the past three years (Figure 12), pricing is elevated, but may still underestimate event risk given the number of outcomes that can shift sentiment quickly.

In this backdrop, investors can consider selling puts to monetize volatility and collect premium into earnings. If the share price drops below the strike after the event, the structure provides a disciplined way to buy Baidu at a discounted level. On current pricing, the breakeven is around 91%, which corresponds to a level last seen in September 2025 (Figure 9).

- **Sell 9888 HK Sep26 95% put:** 3.95% bid (delta -34.1%, implied vol 43.1%)

For investors with a longer-term bullish view, December expiry KO calls can be considered as a more cost-efficient way to retain upside exposure. This aligns with the constructive AI monetization view over the longer run and the potential upside from southbound inclusion, noting the earliest window would be September and the timeline remains uncertain.

- **Buy 9888 HK Dec26 105% call with daily KO barrier of 130%:** 2.4% offer (61% cost saving compared to vanilla call spread)

Buy Ping An's Dividend Upside Surprise with Cheap Earnings Vol

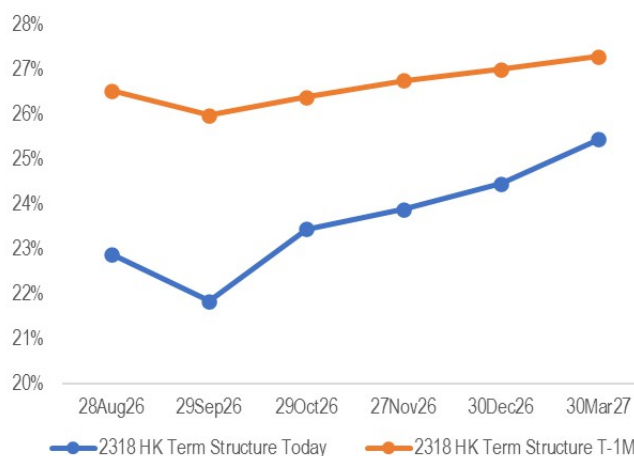
Ping An has lagged the broader market year to date, with a price return of -14.5% versus -0.5% for the HSI (Figure 13). The underperformance largely reflects investor uncertainty over capital return, with the market still debating whether insurers will distribute investment gains via interim dividends or retain them as buffers against potential 2H volatility. This has kept consensus upgrades muted and left the sector rerating more constrained.

Figure 13: Ping An has lagged the broader market YTD, with a price return of -14.5% versus -0.5% for the HSI



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

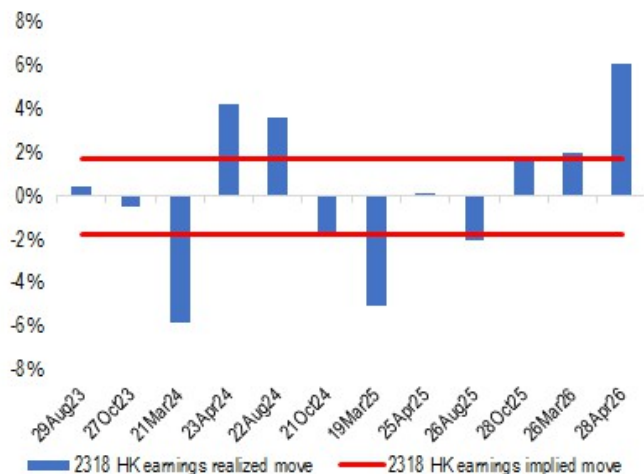
Figure 14: Term structure of Ping An reset lower compared to 1M ago



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

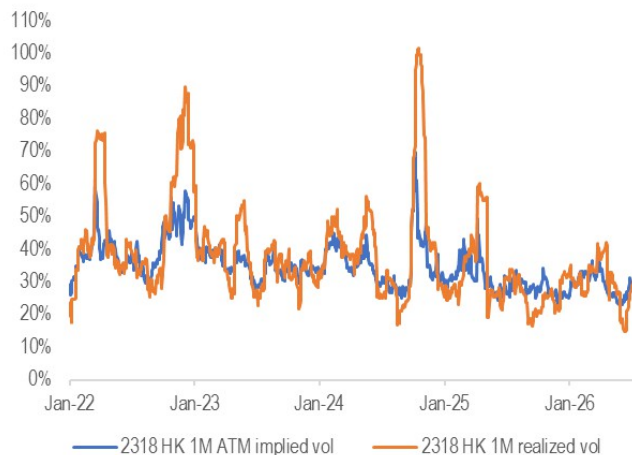
Fundamentally, our analyst MW Kim continues to flag Ping An as the top pick in the China insurer space, with a potential interim dividend surprise as the key near-term catalyst that could help reset sector sentiment. Ping An screens with the highest dividend yield in the group at 5.8%, and our analyst's target price is HK\$95 versus current spot around HK\$55 (see [here](#)), implying meaningful upside if the dividend framework and earnings delivery re-anchor expectations.

Figure 15: Options market is implying an earnings-day move of 1.7% for Ping An compared to the 2.0% 3Y historical median



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 16: Implied and realized volatility for Ping An



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

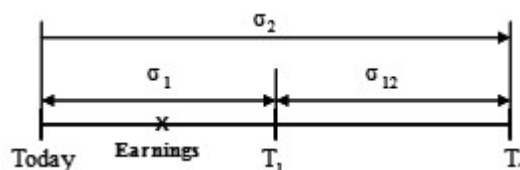
Volatility pricing looks relatively muted into the earnings release, with 1M ATM implied sitting at 3Y lows. Compared to 1M ago, Ping An's term structure has reset lower (Figure 14). The options market is implying an earnings move of 1.7% versus a historical realized level of 2.0%, suggesting event risk may be underpriced (Figure 15). However, the previous earnings move was 6%, highlighting the potential event risk versus the current implied move of only 1.7%. One-month ATM implied volatility is 21.7%, sitting at the 0.2 percentile over the past three years, versus 1M realized volatility of 15.1%. (Figure 16). Taken together, investors may consider bullish structure with positive vega into the event given the potential for a dividend surprise. **With volatility screening cheap and the view constructive, investors can consider buying calls outright into earnings.**

- **Buy 2318 HK Sep26 105% call:** 1.2% (delta 24.5%, implied vol 23.6%)

Appendix: Methodology for earnings-day volatility analysis

In order to ascertain the expected size of an earnings-related move, one must back out the contribution to implied volatility that comes from the earnings announcement. This is determined by measuring the difference between implied volatility over the time period that includes the earnings announcement date and the time period that does not. The earnings announcement date can fall either before the maturity of the first-month contract or between the maturities of the first- and next-month contracts. The contribution to volatility that comes from the earnings announcement is calculated as follows:

If the **earnings announcement falls before the maturity of the first-month contract**, earnings-related volatility will cause both the first- and the next-month implied volatilities to become elevated by σ_1 and σ_2 . However, the difference in volatility between the expiration of the first- and second-month contracts (forward volatility) σ_{12} is not affected by the earnings report.



Mathematically, forward volatility can be expressed as:

$$\sigma_{12} = \sqrt{\frac{\sigma_2^2 T_2 - \sigma_1^2 T_1}{T_2 - T_1}}$$

Here, T_1 and T_2 equal the time to maturity of the first- and second-month contracts, respectively. First-month volatility equals the sum¹ of the volatilities unaffected by the earnings (forward volatility) and the contribution to volatility resulting from the earnings announcement $\sigma_{Earnings}$. Therefore, the contribution to the volatility resulting from the earnings announcement ($\sigma_{Earnings}$) equals the difference between the first-month volatility and the forward volatility:

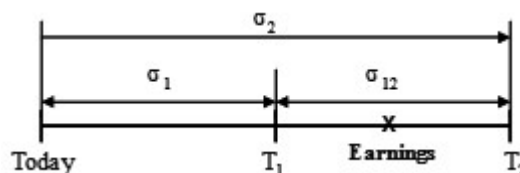
$$\sigma_{Earnings} = \sqrt{T_1(\sigma_1^2 - \sigma_{12}^2)} = \sqrt{(\sigma_1^2 - \sigma_{12}^2) \frac{T_2 T_1}{T_2 - T_1}}$$

The above contribution to the volatility resulting from the earnings announcement ($\sigma_{Earnings}$) is the *excess* amount on top of the volatility not affected by the earnings report, the forward volatility σ_{12} . To arrive at the *total* volatility implied by the options market (σ_{Total}), we use the following relationship:

$$\sigma_{Total} = \sqrt{\sigma_{Earnings}^2 + \sigma_{Unaffected}^2} = \sqrt{\sigma_{Earnings}^2 + \sigma_{12}^2}$$

1. The sum of uncorrelated normally distributed random variables, added to a normally distributed random variable whose variance is the sum of variances and the average sum of the averages.

Alternatively, if the **earnings announcement falls after the maturity of the first-month contract**, earnings-related volatility affects the next-month implied volatility (σ_2) only.



The next-month volatility is the sum of the volatility unaffected by earnings (first-month volatility) and the contribution resulting from the earnings announcement ($\sigma_{Earnings}$). In this scenario, the contribution to volatility resulting from the earnings announcement ($\sigma_{Earnings}$) equals the difference between the second-month volatility and the first-month volatility:

$$\sigma_{Earnings} = \sqrt{T_2(\sigma_2^2 - \sigma_1^2)}$$

The above contribution to the volatility resulting from the earnings announcement ($\sigma_{Earnings}$) is the *excess* amount on top of the volatility not affected by the earnings report, the first-month volatility σ_1 . To arrive at the *total* volatility implied by the options market (σ_{Total}), we use the following relationship:

$$\sigma_{Total} = \sqrt{\sigma_{Earnings}^2 + \sigma_{Unaffected}^2} = \sqrt{\sigma_{Earnings}^2 + \sigma_1^2} \quad (5)$$

After calculating the total volatility (σ_{Total}) either from expressions (3) or (5), we can calculate the **implied size of any earnings-related stock price move** as²:

$$\langle |r| \rangle = \sqrt{\frac{2}{\pi}} \cdot \sigma_{Total}$$

2. The expectation value is calculated under the assumption of normally distributed returns with standard deviation equal to σ_{Total} . The factor $\sqrt{2/\pi} = 0.7979$ is derived from the integration over the normal distribution.

Risks of Common Option Strategies

Risks to Strategies: Not all option strategies are suitable for investors; certain strategies may expose investors to significant potential losses. We have summarized the risks of selected derivative strategies. For additional risk information, please call your sales representative for a copy of "Characteristics and Risks of Standardized Options." We advise investors to consult their tax advisors and legal counsel about the tax implications of these strategies. Please also refer to option risk disclosure documents.

Put Sale: Investors who sell put options will own the underlying asset if the asset's price falls below the strike price of the put option. Investors, therefore, will be exposed to any decline in the underlying asset's price below the strike potentially to zero, and they will not participate in any price appreciation in the underlying asset if the option expires unexercised.

Call Sale: Investors who sell uncovered call options have exposure on the upside that is theoretically unlimited.

Call Overwrite or Buywrite: Investors who sell call options against a long position in the underlying asset give up any appreciation in the underlying asset's price above the strike price of the call option, and they remain exposed to the downside of the underlying asset in the return for the receipt of the option premium.

Booster : In a sell-off, the maximum realized downside potential of a double-up booster is the net premium paid. In a rally, option losses are potentially unlimited as the investor is net short a call. When overlaid onto a long position in the underlying asset, upside losses are capped (as for a covered call), but downside losses are not.

Collar: Locks in the amount that can be realized at maturity to a range defined by the put and call strike. If the collar is not costless, investors risk losing 100% of the premium paid. Since investors are selling a call option, they give up any price appreciation in the underlying asset above the strike price of the call option.

Call Purchase: Options are a decaying asset, and investors risk losing 100% of the premium paid if the underlying asset's price is below the strike price of the call option.

Put Purchase: Options are a decaying asset, and investors risk losing 100% of the premium paid if the underlying asset's price is above the strike price of the put option.

Straddle or Strangle: The seller of a straddle or strangle is exposed to increases in the underlying asset's price above the call strike and declines in the underlying asset's price below the put strike. Since exposure on the upside is theoretically unlimited, investors who also own the underlying asset would have limited losses should the underlying asset rally. Covered writers are exposed to declines in the underlying asset position as well as any additional exposure should the underlying asset decline below the strike price of the put option. Having sold a covered call option, the investor gives up all appreciation in the underlying asset above the strike price of the call option.

Put Spread: The buyer of a put spread risks losing 100% of the premium paid. The buyer of higher-ratio put spread has unlimited downside below the lower strike (down to zero), dependent on the number of lower-struck puts sold. The maximum gain is limited to the spread between the two put strikes, when the underlying is at the lower strike. Investors who own the underlying asset will have downside protection between the higher-strike put and the lower-strike put. However, should the underlying asset's price fall below the strike price of the lower-strike put, investors regain exposure to the underlying asset, and this exposure is multiplied by the number of puts sold.

Call Spread: The buyer risks losing 100% of the premium paid. The gain is limited to the spread between the two strike prices. The seller of a call spread risks losing an amount equal to the spread between the two call strikes less the net premium received. By selling a covered call spread, the investor remains exposed to the downside of the underlying asset and gives up the spread between the two call strikes should the underlying asset rally.

Butterfly Spread: A butterfly spread consists of two spreads established simultaneously – one a bull spread and the other a bear spread. The resulting position is neutral, that is, the investor will profit if the underlying is stable. Butterfly spreads are established at a net debit. The maximum profit will occur at the middle strike price; the maximum loss is the net debit.

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Baidu.com (9888.HK, 9888 HK) Price Chart



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Initiated coverage May 11, 2021. All share prices are as of market close on the previous business day.

Ping An Insurance Group - H (2318.HK, 2318 HK) Price Chart



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